

THE REPORT

It's not yet unanimous, but an emerging consensus suggests that the worst is over. Revival could be as early as September and will depend on how swiftly the Government acts on issues that drag the economy.



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Is the rise in markets and faint glimmer of feelgood factor for real or an illusion?

The rise in markets and the feelgood factor is real, but it should be delinked from the electoral outcome.

It seems to be real. Rural demand, improved offtake in steel and cement, capital expenditure and revival of foreign and domestic investment sentiments signal this. Add the bonus of political stability.

Can we say the worst is over for India?

Yes, the worst is over.

Indications show that the worst is over for India.

Can the revival of growth in India be decoupled from global horror stories?

The decoupling is partial. India is decoupled at 7 per cent growth, not at 8.5 per cent.

India is partially decoupled from global horror stories. It has to still wait for global recovery for exports and return of foreign funds.

When do you expect the Indian economy to turn around?

September 2009.

I expect the recovery in the third quarter of this fiscal, maybe by November.

Are there any signs you would watch out for to signal the return of growth?

One should watch out for production, sales and import figures for capital goods and revival of investment.

Improvement in credit disbursal and liquidity as also in corporate sales and earnings, recovery in industrial growth and employment generation, FDI and FII flows, and export recovery.

3 STEPS THE GOVERNMENT MUST TAKE

- Reduce interest rates on small savings and EPF.
- Identify poor; give subsidies only to them via national identity cards.
- Privatised vocational training and running of employment exchanges.

- Continue with stimulus for infrastructure and a package for textiles, gems, IT.
- Balance deficit by opening up FDI, move towards GST and boost revenues.
- Package for SMEs and better implementation of rural schemes like NREGA.